BofA SECURITIES

Sea Limited

Investor feedback on announcements of Sea Cloud & value unlocking at Monee

Reiterate Rating: BUY | PO: 130.00 USD | Price: 80.43 USD

Initial feedback: More bears than bulls...

After Sea's 6K filing yesterday in which mgmt mentioned about enterprise cloud foray and potential listing of its Fintech business (refer our note here), the stock was down 9% (vs Nasdaq up 0.4%) mainly on the concerns of capex associated with Sea Cloud. There have been no incremental comments from mgmt on this as the company is in quiet period. Below we have highlighted the bull and bear arguments from investors based on our interactions after this announcement.

Bull arguments from investors on Sea Cloud...

1) Competition in the core e-commerce business is likely going down and could be structural as Bytedance appears to be focusing more on AI. This would likely give Sea mgmt more bandwidth to focus on new business like Sea Cloud; **2)** By tapping on external capital for funding Monee, the current balance sheet of Sea could be used for funding AI cloud capex; **3)** Sea Cloud could tap the strong demand from China/SE Asia that could allow company to show faster payback & better ROIC than core business.

Bear arguments & key investor concerns...

1) Investors remain unclear if Sea Cloud's focus is on setting Neoclouds or hyperscalers as business model & capex requirements for both are different; Sea's right to win in this business remains unclear; **2)** As Chinese platforms are penalized for investing in compute, key concern was Sea could also be penalized even if core e-commerce business momentum is stable to improving; **3)** Margins & cashflows may not improve on consolidated if Sea continues to invest in new businesses; **4)** As any new updates on Sea Cloud & details on Monee listing would likely be provided by mgmt along with 3Q results, the overhang of higher capex investment may remain till 3Q results (likely in Nov).

Estimates (Dec) (US$)	**2024A**	**2025A**	**2026E**	**2027E**	**2028E**
Net Income (Adjusted - mn)	609	1,582	2,020	2,819	3,952
EPS	1.02	2.47	3.07	4.19	5.91
EPS Change (YoY)	276.7%	143.0%	24.2%	36.5%	40.9%
Consensus EPS (Visible Alpha)			3.03	4.19	5.54
Free Cash Flow / Share	4.31	6.73	10.26	4.53	6.76
Valuation (Dec)					
P/E	79.05x	32.53x	26.19x	19.19x	13.61x
EV / EBITDA*	46.44x	19.79x	14.87x	10.68x	7.71x
Free Cash Flow Yield*	4.86%	8.09%	12.55%	5.64%	8.41%

* For full definitions of *iQmethod*℠ measures, see page 7.

21 October 2026 Corrected

Equity

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Stock Data

Price	80.43 USD
Price Objective	130.00 USD
Date Established	25-Sep-2026
Investment Opinion	C-1-9
52-Week Range	77.05 USD-171.09 USD
Mrkt Val / Shares Out (mn)	53,084 USD / 660.0
Average Daily Value (mn)	337.69 USD
Free Float	62.6%
BofA Ticker / Exchange	SE / NYS
Bloomberg / Reuters	SE US / SE.N
ROE (2026E)	14.9%
Net Dbt to Eqty (Dec-2025A)	-18.89%

Letting Monee fly solo + Sea cloud open a new frontier, 20 Oct

Sea: Business momentum stable; Largely rational competition helps + 3Q preview, 25 Sept

AI: Artificial Intelligence

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Refer to important disclosures on page 8 to 10. Analyst Certification on page 4. Price Objective Basis/Risk on page 4. **13031288**

iQprofile℠ Sea Limited

Key Income Statement Data (Dec)	2024A	2025A	2026E	2027E	2028E
(US$ Millions)					
Sales	16,820	22,938	32,778	40,761	48,289
Gross Profit	7,155	10,092	14,767	18,408	21,716
Sell General & Admin Expense	(5,468)	(7,070)	(10,637)	(12,786)	(14,318)
Operating Profit	662	1,985	2,940	4,169	5,896
Net Interest & Other Income	117	296	235	220	234
Associates	0	0	0	0	0
Pretax Income	779	2,281	3,174	4,389	6,131
Tax (expense) / Benefit	(321)	(651)	(1,095)	(1,536)	(2,146)
Net Income (Adjusted)	609	1,582	2,020	2,819	3,952
Average Fully Diluted Shares Outstanding	598	638	649	660	660
Key Cash Flow Statement Data					
Net Income	448	1,611	2,017	2,791	3,923
Depreciation & Amortization	402	512	385	461	517
Change in Working Capital	(2,356)	(1,474)	4,076	(651)	(796)
Deferred Taxation Charge	NA	NA	NA	NA	NA
Other Adjustments, Net	4,783	4,376	1,077	1,304	1,662
Cash Flow from Operations	3,277	5,025	7,555	3,904	5,306
Capital Expenditure	(698)	(732)	(893)	(913)	(844)
(Acquisition) / Disposal of Investments	0	0	0	0	0
Other Cash Inflow / (Outflow)	(4,343)	(3,677)	177	199	214
Cash Flow from Investing	(5,041)	(4,409)	(716)	(714)	(630)
Shares Issue / (Repurchase)	0	0	0	0	0
Cost of Dividends Paid	0	0	0	0	0
Cash Flow from Financing	1,684	1,623	50	50	50
Free Cash Flow	2,579	4,293	6,663	2,992	4,462
Net Debt	308	(2,389)	(9,228)	(12,419)	(17,095)
Change in Net Debt	(1,058)	(2,697)	(6,839)	(3,191)	(4,676)
Key Balance Sheet Data					
Property, Plant & Equipment	2,152	2,732	2,183	2,557	2,794
Other Non-Current Assets	3,615	3,389	3,583	3,661	3,751
Trade Receivables	NA	NA	NA	NA	NA
Cash & Equivalents	2,405	4,159	11,048	14,289	19,015
Other Current Assets	14,453	19,091	14,437	17,940	21,235
Total Assets	22,625	29,371	31,252	38,447	46,795
Long-Term Debt	2,282	1,119	1,169	1,219	1,269
Other Non-Current Liabilities	599	953	1,307	2,803	4,671
Short-Term Debt	431	651	651	651	651
Other Current Liabilities	10,865	14,029	13,452	16,304	18,803
Total Liabilities	14,178	16,753	16,579	20,977	25,394
Total Equity	8,478	12,648	14,672	17,470	21,400
Total Equity & Liabilities	22,655	29,401	31,252	38,447	46,795
iQmethod℠ **- Bus Performance***					
Return On Capital Employed	5.3%	12.2%	12.7%	14.5%	16.1%
Return On Equity	8.1%	15.1%	14.9%	17.7%	20.5%
Operating Margin	3.9%	8.7%	9.0%	10.2%	12.2%
EBITDA Margin	6.3%	10.9%	10.1%	11.4%	13.3%
iQmethod℠ **- Quality of Earnings***					
Cash Realization Ratio	5.4x	3.2x	3.7x	1.4x	1.3x
Asset Replacement Ratio	1.7x	1.4x	2.3x	2.0x	1.6x
Tax Rate (Reported)	41.2%	28.5%	34.5%	35.0%	35.0%
Net Debt-to-Equity Ratio	3.6%	-18.9%	-62.9%	-71.1%	-79.9%
Interest Cover	22.0x	NM	NM	NM	NM

Key Metrics

* For full definitions of *iQmethod*℠ measures, see page 7.

Company Sector

Internet/e-Commerce

Company Description

Sea Limited is a mobile and PC gaming platform and developer (Garena) and an e-commerce marketplace operator (Shopee) in ASEAN, Taiwan and Brazil. Its first self-developed game, "Free Fire," has a global user base. Sea also runs a digital payments platform supporting the two businesses (Monee). Sea Ltd is headquartered in Singapore and was founded in 2009.

Investment Rationale

We have a Buy rating on Sea Limited. In our view, it is best positioned in our coverage to ride the e-commerce boom in Southeast Asia given its increasingly dominant online marketplace (Shopee), while its expansion into Brazil/LatAm offers further substantial growth upside potential in long term. Free Fire is likely to show steady growth, led by expansion in emerging markets and future potential collaborations. In Fintech, Sea is expanding offering from on-Shopee to off-Shopee and secured loans.

Stock Data

Price to Book Value	3.7x

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Price objective basis & risk

Sea Limited (SE)
Our PO of US$130 is based on an SOTP valuation. We value Garena's gaming biz at US$29 per share or 10x 2027E EV/EBITDA, slightly lower than global peers trading at 13x. We believe the discount is warranted given Sea's over-dependence on one game that contributes to c.80%+ of EBITDA

The Shopee biz is valued at US$47 per share based on 18x 2027E EV/EBITDA, a premium to global e-comm companies' multiple of 11x but a discount to India consumer tech companies' multiple of 40x. This, in our view, fairly reflects Shopee's growth, dominant position in a competitive mkt and optionality in Brazil.

We value its Digital Financial services biz, including Digital Banking, at US$37 per share, using EV/IC & EV/adj. EBITDA multiples. We use 1X EV/IC for digi-banks & 15X FY2027E EV/adj. EBITDA for DFS biz (including Monee), lower than the global peer average of 18x, given lower comfort on lending book currently.

We also adjust for the net cash per share and minority, which comes to US$16 per share.

Upside risks: 1) Faster-than-expected revenue growth with profitability, 2) good traction of more self-developed games, 3) declining competitive intensity and better positioning in e-com business.

Downside risks: 1) Chinese e-com competitors better leveraging AI versus Shopee helping them gain share at expense of Shopee, 2) rising NPA risks at the Fintech business, 3) higher competitive intensity in e-commerce leading to lower margin uptake 4) meaningful increase in AI related capex going ahead

Analyst Certification

I, Sachin Salgaonkar, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

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APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Agora	API	API US	Daley Li, CFA
	Alibaba Group	BABA	BABA US	Joyce Ju
	Alibaba Group	BABAF	9988 HK	Joyce Ju
	Alibaba Health	ALBHF	241 HK	Miranda Zhuang, CFA
	Baidu.com	BIDU	BIDU US	Miranda Zhuang, CFA
	Baidu.com	BAIDF	9888 HK	Miranda Zhuang, CFA
	Bilibili	BILI	BILI US	Alex Liu
	Bilibili	BLBLF	9626 HK	Alex Liu
	CAR Group	CRSLF	CAR AU	Sriharsh Singh
	Coupang	CPNG	CPNG US	Ahyung Cho
	Damai Entertainment	ABPGF	1060 HK	Harry Zhuang
	Delhivery	XDVLF	DELHIVER IN	Sachin Salgaonkar
	East Money	XEQTF	300059 CH	Michael Li
	Eternal	XMWRF	ETERNAL IN	Sachin Salgaonkar
	Grab Holdings	GRAB	GRAB US	Sachin Salgaonkar
	HYBE	XBGOF	352820 KS	Sun Jung Lee
	Info Edge	IFOEF	INFOE IN	Sachin Salgaonkar
	Ixigo (Le Travenues)	XIXIF	IXIGO IN	Pankaj Mehendiratta
	JD Health	JDHIF	6618 HK	Miranda Zhuang, CFA
	JD Industrials	XJIIF	7618 HK	Miranda Zhuang, CFA
	JD.com	JD	JD US	Joyce Ju
	JD.com	JDCMF	9618 HK	Joyce Ju
	KE Holdings	BEKE	BEKE US	Miranda Zhuang, CFA
	KE Holdings	XSQRF	2423 HK	Miranda Zhuang, CFA
	Kingdee International Software	KGDEF	268 HK	Daley Li, CFA
	Kingsoft Cloud	KC	KC US	Daley Li, CFA
	Kingsoft Cloud	KCLHF	3896 HK	Daley Li, CFA
	Kingsoft Office	XBKOF	688111 CH	Daley Li, CFA
	Krafton	XKINF	259960 KS	Jinhan Chun
	Kuaishou	KUASF	1024 HK	Miranda Zhuang, CFA
	Life360	LIFX	360 AU	Sriharsh Singh
	Makemytrip Limited	MMYT	MMYT US	Sachin Salgaonkar
	Meitu Inc.	MEIUF	1357 HK	Harry Zhuang
	MiniMax	MNMXF	100 HK	Alex Liu
	NAVER Corporation	NHNCF	035420 KS	Ahyung Cho
	NetEase	NETTF	9999 HK	Alex Liu
	NetEase, Inc	NTES	NTES US	Alex Liu

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APR - Internet, Media and Software Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Plan B Media PCL	XMKTF	PLANB TB	Suppapong Iemkongaek, CFA, CMT
	Sea Limited	SE	SE US	Sachin Salgaonkar
	Seek Limited	SKLTF	SEK AU	Sriharsh Singh
	Tencent Holdings	TCTZF	700 HK	Alex Liu
	The ONE Enterprise	XUFCF	ONEE TB	Suppapong Iemkongaek, CFA, CMT
	Tongcheng Travel	TNGCF	780 HK	Joyce Ju
	Trip.com Group	TCOM	TCOM US	Joyce Ju
	Trip.com Group	TRPCF	9961 HK	Joyce Ju
	TUHU Car	XTCRF	9690 HK	Miranda Zhuang, CFA
	Vipshop Holdings	VIPS	VIPS US	Joyce Ju
	Xero Limited	XROLF	XRO AU	Sriharsh Singh
	Z.AI Co., Ltd	KATJF	2513 HK	Alex Liu
	Zip Co Limited	ZIZTF	ZIP AU	Ware Kuo
NEUTRAL				
	Chinasoft International	CFTLF	354 HK	Daley Li, CFA
	Hundsun Technologies	XYTGF	600570 CH	Daley Li, CFA
	JYP Entertainment	ALNNF	035900 KS	Sun Jung Lee
	Kakao Corp.	DAUCF	035720 KS	Ahyung Cho
	Kanzhun Ltd.	XKLRF	2076 HK	Miranda Zhuang, CFA
	Kanzhun Ltd.	BZ	BZ US	Miranda Zhuang, CFA
	Kingsoft Corporation	KSFTF	3888 HK	Daley Li, CFA
	Maoyan Entertainment	MAOFF	1896 HK	Harry Zhuang
	Meesho	XMEEF	MEESHO IN	Sachin Salgaonkar
	Meituan	MPNGF	3690 HK	Joyce Ju
	NC	NCSCF	036570 KS	Jinhan Chun
	Nykaa	XQQGF	NYKAA IN	Sachin Salgaonkar
	Paytm	XUXBF	PAYTM IN	Sachin Salgaonkar
	PB Fintech	XPFXF	POLICYBZ IN	Sachin Salgaonkar
	Pinduoduo Inc.	PDD	PDD US	Joyce Ju
	REA Group	RPGRF	REA AU	Sriharsh Singh
	Shiprocket	XROCF	SHIPROCK IN	Sachin Salgaonkar
	SM Entertainment	SMEZF	041510 KS	Sun Jung Lee
	Swiggy	XPDWF	SWIGGY IN	Sachin Salgaonkar
	Tencent Music	TME	TME US	Alex Liu
	Tencent Music	TCMEF	1698 HK	Alex Liu
	Weimob	WEMXF	2013 HK	Daley Li, CFA
	WiseTech Global Limited	WTCHF	WTC AU	Sriharsh Singh
	YG Entertainment	XYEIF	122870 KS	Sun Jung Lee
	Yonyou Network	XYNIF	600588 CH	Daley Li, CFA
UNDERPERFORM				
	Autohome	ATHM	ATHM US	Miranda Zhuang, CFA
	Autohome	XXYZF	2518 HK	Miranda Zhuang, CFA
	BrainBees Solutions (FirstCry)	XZSQF	FIRSTCRY IN	Sachin Salgaonkar
	DBAPPSecurity	XDBAF	688023 CH	Daley Li, CFA
	Glodon Company	XGCOF	002410 CH	Daley Li, CFA
	GoTo Group	GTOFF	GOTO IJ	Sachin Salgaonkar
	Ming Yuan Cloud	XWTAF	909 HK	Daley Li, CFA
	NavInfo	XWLHF	002405 CH	Daley Li, CFA
	PhysicsWallah	XPWLF	PWL IN	Pankaj Mehendiratta
	Ping An Healthcare and Technology	PANHF	1833 HK	Miranda Zhuang, CFA
	Qi An Xin	XQTDF	688561 CH	Daley Li, CFA
	Technology One Limited	THNOF	TNE AU	Ware Kuo
	ThunderSoft	XSTSF	300496 CH	Daley Li, CFA
	Urban Company	XURBF	URBANCO IN	Sachin Salgaonkar
	Venustech	XVCGF	002439 CH	Daley Li, CFA
	Weibo Corporation	WB	WB US	Miranda Zhuang, CFA
	Weibo Corporation	WEIBF	9898 HK	Miranda Zhuang, CFA

iQmethod℠ Measures Definitions

Business Performance	Numerator	Denominator
Return On Capital Employed	NOPAT = (EBIT + Interest Income) × (1 − Tax Rate) + Goodwill Amortization	Total Assets − Current Liabilities + ST Debt + Accumulated Goodwill Amortization
Return On Equity	Net Income	Shareholders' Equity
Operating Margin	Operating Profit	Sales
Earnings Growth	Expected 5 Year CAGR From Latest Actual	N/A
Free Cash Flow	Cash Flow From Operations − Total Capex	N/A

Quality of Earnings	Numerator	Denominator
Cash Realization Ratio	Cash Flow From Operations	Net Income
Asset Replacement Ratio	Capex	Depreciation
Tax Rate	Tax Charge	Pre-Tax Income
Net Debt-To-Equity Ratio	Net Debt = Total Debt − Cash & Equivalents	Total Equity
Interest Cover	EBIT	Interest Expense

Valuation Toolkit	Numerator	Denominator
Price / Earnings Ratio	Current Share Price	Diluted Earnings Per Share (Basis As Specified)
Price / Book Value	Current Share Price	Shareholders' Equity / Current Basic Shares
Dividend Yield	Annualised Declared Cash Dividend	Current Share Price
Free Cash Flow Yield	Cash Flow From Operations − Total Capex	Market Cap = Current Share Price × Current Basic Shares
Enterprise Value / Sales	EV = Current Share Price × Current Shares + Minority Equity + Net Debt + Other LT Liabilities	Sales
EV / EBITDA	Enterprise Value	Basic EBIT + Depreciation + Amortization

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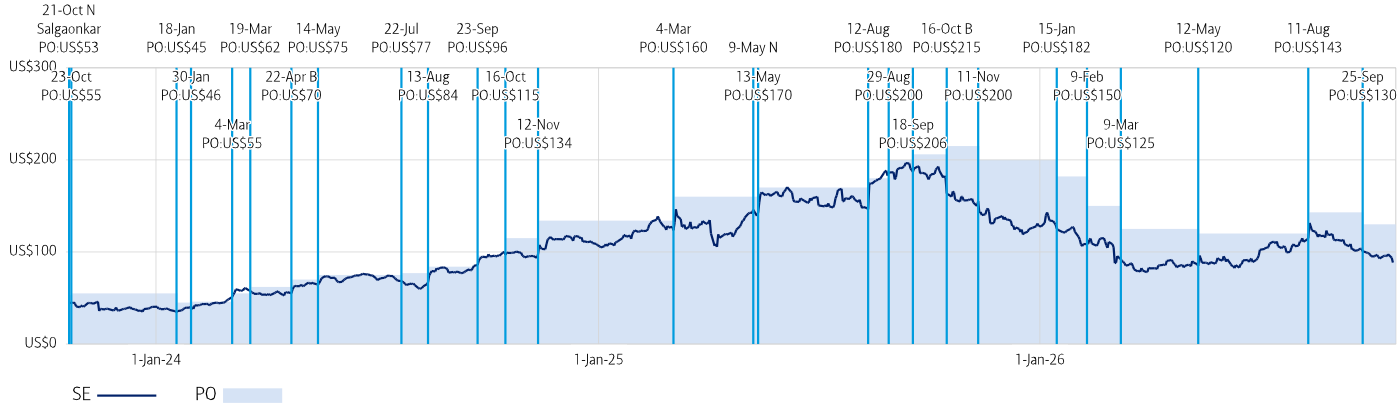
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Disclosures

Important Disclosures

Sea Limited (SE) Price Chart



B: Buy, N: Neutral, U: Underperform, PO: Price Objective, NA: No longer valid, NR: No Rating

The Investment Opinion System is contained at the end of the report under the heading "Fundamental Equity Opinion Key". Dark grey shading indicates the security is restricted with the opinion suspended. Medium grey shading indicates the security is under review with the opinion withdrawn. Light grey shading indicates the security is not covered. Chart is current as of a date no more than one trading day prior to the date of the report.

Equity Investment Rating Distribution: Technology Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	255	62.04%	Buy	157	61.57%
Hold	82	19.95%	Hold	46	56.10%
Sell	74	18.00%	Sell	31	41.89%

Equity Investment Rating Distribution: Global Group (as of 30 Sep 2026)

Coverage Universe	Count	Percent	Inv. Banking Relationships [R1]	Count	Percent
Buy	2057	57.03%	Buy	1386	67.38%
Hold	806	22.35%	Hold	563	69.85%
Sell	744	20.63%	Sell	446	59.95%

[R1] Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster[R2]
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

[R2]Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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